Handbook of Company Policies

Ditstek Innovations Pvt. Ltd. (For all sister companies as well), 2022

This Handbook contains information for the employees and consultants. These policies, practices and processes are exclusive to Ditstek Innovations Pvt Ltd. and are for strict compliance and application. Contents of the Policy will not be divulged to any unauthorized person(s).

Version History

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HANDBOOK OF COMPANY POLICIES

1. Introduction

This Handbook contains details of the company policies applicable to all employees and consultants of Ditstek Innovations Pvt. Ltd. at its head office at Chandigarh and any other current/ future branch offices. For the purpose of this document Head office shall be referred as HO and Branch office as BO. The policy is effective from First August 2022. This Handbook supersedes all other notices/circulars/policies concerning company policies in the past. Policies contained in this Handbook are subject to change. Changes/revision, as and when necessitated will be carried out and conveyed to all concerned. All are required to be in strict compliance with these policies.

2. Types of Employment

The company employs people in the following categories:
Regular: Regular employees are appointed to positions under terms and conditions of employment for full time engagement

Task/Project specific and Period specific work under Consultant Agreement between the company and the individuals:

Consultant: Consultants are selected and appointed under Contract with the company, for full-time or part-time engagement for specified tasks/projects/periods. Consultant Agreement is drawn up between the company and the consultant and it contains detailed terms and conditions.

Service Contractors, like for Electrical works, Security, Air conditioning, and provisioning of materials etc. are not included under any category of employment. They are hired for carrying out sundry assignments as contingent to smooth administrative functioning of the company.

3. Salary

3.1 Employees salary for a month will be credited monthly to their respective bank accounts by the seventh day or the next working day thereafter of the following month. Salary certificates/slips will be issued on request of consultant/Employee respectively.

3.2 Income Tax deductions: TDS will be deducted from employees liable to pay income tax. Such employees will furnish the following details to the finance department for affecting the TDS.

a) Details of their annual income on the declaration form. Forms may be obtained from the accounts department.
b) Form 16 needs to be submitted by new Employees issued by the last employer.

Employees are also required to furnish details of the investment made/to be made during the financial year. Such details would be reviewed by the finance team for adjusting tax deduction. Employees are advised to furnish exact details of their investments qualifying for tax rebates, to avoid unnecessary deductions.

4. Working Hours

The working hours will be as under:
Working hours 9:30 AM – 7 PM (General Shift)
Lunch 1 PM - 2.00 PM (30 mins in between)
Any changes in the working hours will be notified well in advance.

5. Attendance

All employees will flash their identity card/thumb impression at the electronic time recorder located at the office entrance every time they enter / leave the office. For all those new joiners whose identity card/thumb impression have not been received are required to mark attendance at the security desk.

6. Public Holidays

List of holidays will be notified at the beginning of a year. The office will remain closed on holidays. Saturdays and Sundays.

For specific duties, however, office may open even on holidays, Saturdays and Sundays on as required basis. Attendance of a specific few/all will be obligatory on such occasions.

7. Leave, Kind and Entitlement:

Leave may be approved/sanctioned as a matter of privilege. It cannot be claimed as a matter of right. Service exigencies govern the approval / sanction of leave. There are seven types of leave. No other leave such as casual leave or furlough etc. is permitted. The Company Management alone has authority to make exceptions to these leave rules.

- Earned Leave
- Short Leave
- Sick Leave
- Discretionary Leave
- Maternity Leave
- Paternity Leave
- Exam Leave

1. Earned Leave

1.1. Each confirmed employee will be entitled to 12 earned leaves per calendar year.

1.2 Holidays, Saturdays and Sundays occurring within the leave period will be counted as leave taken. Prefixing or suffixing of holidays, is permitted and will not count as leave taken, except in contingencies, when this period will count as leave. These contingencies will be exceptional circumstances and notified well in advance, so as to enable employees, considering their functions and responsibilities to properly plan their leave. The decision of deduction in leaves as “sandwich rule” is upon the reporting head and the management’s discretion.

1.3 In the event of unplanned/uninformed leaves on Monday or Fridays, three leaves shall be counted and deducted in the same month salaries. Two such repeats shall result in disciplinary action as decided by HR head.

1.4 Individuals can proceed on leave, only after the leave, applied for well in time, on the portal or e-mail and it has been duly sanctioned, by the immediate supervisor.

1.5 For leave exceeding three days, the application must reach the leave sanctioning authority, at least 10 days in advance. In urgent/exceptional cases however, even telephonic permission of Reporting Manager/ HR head/ the Management, may be taken to proceedon leave. Proceeding on leave without sanction will amount to absenting without leave. This lapse will be viewed seriously and will invite imposition of forfeiture of 150% of gross salary deduction for the period of absence. This deduction will be made from the same month’s salary in which such absence occurs. Continued absence for more than 72 hours may lead to termination of employment.

1.6 Leave cannot be encashed. Earned leaves can be carried forward for 3 consecutive years only, it will laps at the end of the third year.

1.7 It is suggested not to apply for leaves if long weekends are prefixed / suffixed and closed holidays, all together as it may impact the efficacy and delivery of the project. The last approval lies with the Management of Ditstek.

1.8 Entire entitlement of earned leave at one stretch may not be sanctioned. Leave may be availed of in two or more parts, appropriately spaced. Any/all leave must be planned with care and anticipation.

1.9 Marriage Leaves: Ditstek shall allow a maximum of 15 calendar days leaves for marriage. Such marriage leaves shall be adjusted with accrued leave till the date of availing of this leave.

1.10 No earned leaves are allowed for trainees for the first 9 months except weekends. Emergencies and exigencies to be dealt case wise.

1.11 Employee under probation (3 months from date of joining) is not entitled for Earned Leave.

2 Short Leave

2.1 Absence of up to two hours, on any three occasions per month is allowed with prior information to HR and reporting manager. This short leave will enable employees to take care of their regular errands.

2.2 Late arrivals beyond 15 minutes to two hour of the commencement of office, will contact the HR Manager who has the authority to condone legitimate late coming in events of circumstances beyond control. Every three occasions of un-condoned late arrival will result in forfeiture of half day's leave. Respective leave accounts will accordingly be adjusted. Habitual late comers will be dealt with harshly for their unacceptably unworthy conduct.

3. Sick Leave

3.1 All the employees and trainees whether on probation/confirmed are entitled for 3 sick leaves per calendar year. Sick leaves cannot be carried forward to next calendar year.

3.2 Three sick leaves will be credited for the calendar year; sick leave(s) can be carried forward to next quarter till year end.

3.3 After 3 sick leaves, any leave whether sick or casual will be deducted from the balanced earned leaves.

4. Discretionary Leave

This kind of leave is granted under special circumstances by the Management on humanitarian grounds as a welfare measure. Unfortunate incidents like serious accidents or grave emergencies befalling company personnel may attract this kind of leave, which may be granted with full/ partial/no pay and allowances, based on degree of distress of ill-fated individuals. This discretion will be exercised with due care and compassion, on rare occasions. Decision on the quantum of relief will be subjective i.e. different for each individual. Decision of the Management will be final and binding.
In cases of incapacitation for instance, Management will humanely consider contingent absence as “grace leave” with pay.

5. Maternity Leave

As per the Act, to be eligible for maternity benefit, a woman must have been working as an employee in an establishment for a period of at least 80 days in the past 12 months.

5.1 A female employee is entitled to the benefit of 26 weeks or 6 months maternity leave for first and second child. Weekends will be counted as paid leaves in honor of 26 weeks.

5.2 Employee expecting the third time during her tenure with Ditstek shall be entitled 12 weeks or 3 months of paid maternity leave.

5.3 Employees are allowed to take longer post-confinement (at least 6 weeks) leave in lieu of shorter pre-confinement leave and the act has also introduced an enabling provision relating to work from home for women, which may be exercised after the expiry of the 26 weeks leave period. Depending upon the nature of work, women employees may be able to avail this benefit on terms that are mutually agreed with the employer.

5.4 Employees who are legally adopting a child below the age of one year shall be entitled "12 weeks" of maternity benefit from the date the child is handed over to the adopting mother.

5.5 In case of miscarriage or medical termination of pregnancy, an employee is entitled to six weeks of paid maternity leave following the day of her miscarriage.

5.6 Maternity leaves can be availed on prior written approval only.

Rest all other terms and conditions will be as per Indian government norms under this act.

6. Paternity Leave

6.1 Male employees having a new born child or legally adopting a child below the age of one year is covered under this policy.

6.2 You are eligible for 5 working days paid paternity leave at 100% of your fixed annual salary.

6.3 These 5 working days are exclusive of public holidays and paid time off.

6.4 The paid paternity leave must be availed as one continuous block within six months of the birth or adoption of the child.

6.5 There is no minimum service year requirement for employees to be eligible for the benefit under this.

7. Exams Leave

It has been decided to allow aspiring candidates to avail professional exams leaves provided.

7.1 The candidate have to request for leave in writing/email to their reporting manager and HR well in time and reporting manager has no issues work wise due to such leaves and has approved in writing/email.

7.2 The candidates had spent a minimum of six months with Ditstek. New joiners' can avail these leaves as unpaid leaves only provided that they have mentioned this in writing at the time of their joining.

Kindly Note- The employee has to apply leave through the portal/mail and get it approved from the reporting manager. No leave will be entertained without incharges approval.

The management can cancel the sanctioned leave on a situational basis.

8. Performance Appraisal

Objective

This process entails Ditstek's review and appraisal policy for the engineering/ Operation team. This process should be read along with the salary structures, where the experience levels for each designation are defined.

Performance review These reviews can lead to the following:

a. Status Quo - no change.
b. Salary Raise - The employee may get a salary raise, as early as six months or as late as one Year. However, out of turn raises may be given on the basis of excellent performance on the discretion of the reporting manager or the Management.
c. Designation Raise –The employee may receive an up gradation in his designation or level, as per the grading structures. This will be based on the individual's performance, as well as the time he/ she has spent at a particular level. Of course, the designation raise would "generally" come with a salary raise.

9. Policy on ex gratia payments:

Well served clients sometimes reward some individuals for the services rendered to them. Such rewards are appreciated both by the company and the individuals. The very cause of such rewards is primarily the company that appoints, and places in specific projects / tasks such awardees in the first instance and then, creates conditions for high performances, which gets duly taken note of by the gratefully satisfied clientele, which often expresses its happiness by announcing ex gratia rewards.
Payments of such rewards will be made to the awardees within 30-45 days of the receipt of money. Company may appropriately make mention of this in their relieving letter at the time of awardees severance from the company, at its discretion. Company encourages all its employees and consultants to emulate examples of the awardees and bring glory, name, fame, and appreciation to the company and in the process, earn pride beside monetary gains for themselves.

10. Reimbursement of Training & Certifications

Company recognizes that up gradation of skills in knowledge-based technology is of great importance. It encourages employees to hone up and upgrade their skills by undergoing relevant and appropriate training/course/certification tests by fully/ partially meeting such expenditure as it may deem proper, on a case to case basis. Beneficiaries may have a tender undertaking that they will continue to serve the company for a specified minimum period, after successfully completing the course/training/certification tests at company's full / partial costs. Such periods will be determined upon factors, such as the company's contribution to the expenditure, the duration of the course, and likely benefits to the company/beneficiaries etc.

• Employees will get full/partial reimbursement of the examination fee after being successful in certification examinations approved by the company, depending upon the Management discretion.

• To avail reimbursement facility, the employee has to be atleast 6 months old with the company.

11. Participation in Official functions/parties/get-to-gathers/outings

On officially organized functions, all are expected to participate. Not showing up, even after tendering willingness will not be acceptable. Such unplanned absence results in wholly avoidable expenditure as well as waste of food besides missing out full value benefits from such events. Lack of willingness of participation in such functions will not be appreciated. Seniors are expected to guide comparative newcomers to the value of such mingling, so useful in corporate dealings. In compelling circumstances only, should people think in terms of opting out with prior permission of their respective seniors.

12. Dress Code

All are expected to dress up properly, during working hours. Sense of decency and presentable looks will govern the choice. All will keep in mind contemporary office dress modes and abide by them. On Mondays, client visits and certain occasions, formal wear will be adopted. Details will be given out well in advance for strict compliance.

Specific dress for particular occasions will be laid down for all to ensure strict compliance.

13. Sexual Harassment

Unwelcome sexually determined behavior whether directly or by implication such as physical contact and advances, request or demand for sexual favors, showing pornography, sexually colored remarks, repeated comments on style of dressing or clothes any other unwelcoming physical, verbal, non-verbal conduct of sexual nature, comes under sexual harassment to employees of the Company. Those indulging in this will be dealt with very harshly, in case the offence comes under Indian penal code, the person(s) will be handed over to the Police. Such employees will have their services terminated immediately.

The Company has put in place a proper complaint redressal mechanism, to ensure speedy resolution of the case, also to ensure that no discrimination to/victimization of the victim and/or witness (es) takes place.

14. Policy on Departures

1. In case an Employee/Consultant resigns with a due notice period of 60 days. Procedure to be followed for issuance of documents and clearance of dues:

• Acceptance on resignation will be given on a date between the date of resignation and date of relieving (i.e. last working day).
• No Dues Certificate has to be provided before the date of relieving.
• Final Dues will be cleared after one month from the date of relieving.
• Relieving letter cum experience certificate will be given after one month from the date of relieving.

Documents given when demanded:

• Salary Certificate/ Salary Slip
• Internship letter (for Interns only)
• Contribution Card of PF (in case of ex-employees only)
• Form 16/16 A as per applicability

2. In case an Employee/Consultant resigns/leaves without serving notice of 60 days then there will be no clearance of dues and experience certificate/relieving letter will not be issued. Also, no future ex-employee verification will be done in such a case.

3. The salary of last 15 days (out of 60 days resignation period) will be on hold and will be provided with final dues.

4. In case an individual resigns within 90 days of his/her Appraisal then the appraisal benefit shall not be considered effective. Any monetary or non- monetary benefit given in the last 90 days will be treated as null and the company keeps the right to refrain from the benefit. The excess amount credited shall be adjusted in the last dues of the person.

5. In case an Employee/Consultant is asked to leave by giving a notice (minimum 15 days' notice period will be given). Procedure to be followed for issuance of documents and clearance of dues:

• Final Dues will be cleared on the date of relieving.
• No Dues Certificate has to be provided for the clearance of final dues.
• Relieving letter cum experience certificate will be given on the date of relieving on production of a no dues certificate.

Documents given when demanded:

- Salary Certificate
- Contribution Card of PF (in case of ex-employees only)
- Form 16/16 A as per applicability

In case of employees, if the notice period is less than the notice period to which he/she is entitled to according to the Appointment Letter, severance equal to the gross salary for the number of days by which the notice period is short of the notice period mentioned in the Appointment letter will be added to the final dues.

In case of PIP (Performance improvement plan)

- In cases where an Employee/Consultant is notified to improve his/her performance:
- He/she will be allotted a mentor who will closely monitor the performance along with the Engineering head.
- Performance Review will be done after 15 days by the reporting head. In case improvement is observed in this review the concerned Employee/Consultant will be reviewed again after next 3 Months.
- Incase the employee improves, the appraisal period will be exceeded by 1-3 months as per the discretion of reporting head.
- In case the expected improvement is not observed, the employee will be terminated from his/her services by giving 15 day's notice.

Note: Leave availed by an Employee/Consultant during the notice period will be at the discretion of the Management. Any leave availed without prior consent will be considered as unpaid and will be deducted from the payment due. All calculations for arriving at the final dues will take into account the gross monthly salary/gross monthly consultancy amount.

Important: It is under the Management's discretion to reduce or waiver the notice period on recommendation by the head HR.

Accumulation of earned leave will cease from the date of notice of termination of service. Final settlement of dues will be carried out after clearance of all the dues from the concerned departments of the company and will be closed after 30 days of the last working day of the individual.

Note: In cases of gross indiscipline, insubordination, absence without leave, drunkenness, misconduct and similar acts of unacceptable nature, however, termination from service may take immediate effect.

Date of Relieving:
Last working date

No Dues Certificate:
To certify that the employer has cleared all pending dues.

15. Alcohol, Drug And Substance Abuse Policy:

Whenever the employee/consultants are working and operating any office vehicle, are present in office premises or are conducting company-related work off site or at home, they are prohibited from:
a. Using, possessing, buying, selling, manufacturing or dispensing any illegal drug (to include possession of drug paraphernalia).
b. Being under the influence of alcohol or any illegal drug as defined in this policy.
c. Possessing or consuming alcohol or drugs.
d. The presence of any detectable amount of any illegal drug, illegal controlled substance or alcohol in an employee's body system, while performing company business or while in a company facility is prohibited.
e. Ditstek will also not allow employees to perform their duties while taking prescribed drugs that are adversely affecting their ability to safely and effectively perform their job duties. Employees taking prescribed medication must carry it in a container labelled by a licensed pharmacist or be prepared to produce the container if asked.
f. Any illegal drugs or drug paraphernalia will be turned over to appropriate law enforcement and may result in immediate termination of employment.

16. Drug and Alcohol Screening:

A urinalysis or other drug/alcohol screening may be conducted:
a. To all applicants to whom a job offer has been made.
b. Post-accident or if probable cause is suspected.
c. When there is reason to believe that an employee/consultant may be using drugs or may be under the influence of drugs or alcohol.
d. As part of periodic follow-up testing if the employee is found to have breached these policies but has been permitted to remain employed.

Any violation of this policy may be grounds for termination. However, in some circumstances and at the sole discretion of the HR head, a lesser penalty may be selected.

The HR head is responsible for policy interpretation, administration and enforcement.